

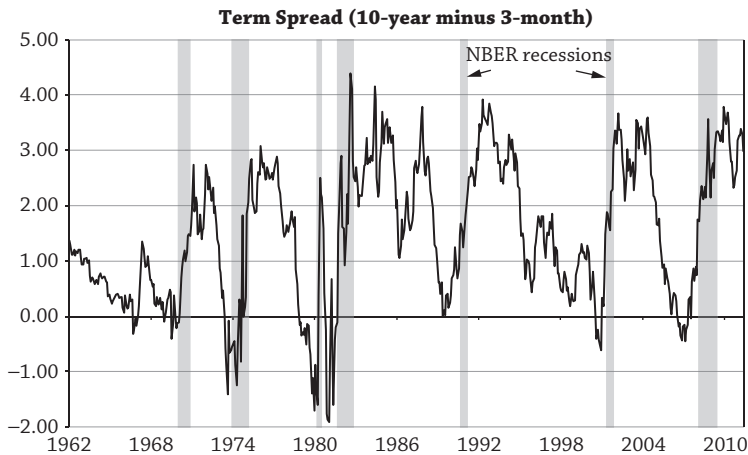


Figure 9.9

and the yield curve is downward sloping. Thus, the term spread is a counter-cyclical indicator of future economic activity, and low, especially negative, term spreads forecast economic slowdowns.²² Figure 9.9 plots the ten-year Treasury minus the three-month T-bill term spread and shades the National Bureau of Economic Research recessions. The term spread has been negative prior to every recession since the 1960s.²³

3.4. OTHER FACTORS

While macro factors and monetary policy account for a substantial part of yield curve movements, they do not explain everything. During the financial crisis of 2008–2009, there was a pronounced *flight to safety* as many investors moved into risk-free Treasuries and sold off risky assets including corporate bonds and equities. One measure of liquidity is the *on-the-run/off-the-run* spread. When Treasuries are newly issued, they are most liquid and called “on the run.” But as time passes and new Treasuries are issued, the old ones become “off the run.” On-the-run bonds are in higher demand by investors, so their yields are lower, on average, than off-the-run bonds. The on-the-run/off-the-run effect is a liquidity measure because it involves instruments with the same credit risk (zero, assuming

²² Some papers in this literature include Harvey (1988), Estrella and Mishkin (1998), and Ang, Piazzesi, and Wei (2006).

²³ At the time of writing, these are December 1969 to November 1970, November 1973 to March 1975, July 1981 to November 1982, July 1990 to March 1991, March 2001 to November 2001, and December 2007 to June 2009.